

## 5.4 THE EUROPEAN AND INTERNATIONAL SETTING

 C1.1-1.3; N1.1-1.3; IT1.1, 1.2; WO1.1-2.3; LP1.1-2.3; PS1.1-1.3.

 1e, 1i, 1j, 2a, 2b, 2c, 3a

This section of the specification introduces the European and international influences on the UK economy. It looks at international trade, the balance of payments, exchange rates and the role and influence of the European Union, as well as considering the impact of economic activity on living standards.

### (a) International specialisation and trade

- Understand the meaning of specialisation.
- Understand the principles of absolute advantage.
- Explain the advantages of trade and the consequences of global interdependence.
- Identify the methods of, and the reasons for, protection.
- Evaluate the methods of protection.

### (b) European Union

- Explain and evaluate the advantages and disadvantages of the single market.
- Explain and evaluate the advantages and disadvantages of the single currency.
- Understand the interdependency of the UK economy and EU economies.

### (c) Balance of payments

- Identify the main items of Britain's EU and international trade.
- Identify Britain's major EU and international trading partners.
- Understand the continuing impact of EU membership on Britain's international trading patterns.
- Identify the components of the current account.
- Calculate the balance of trade in goods, the balance of trade in services and the current account balance.
- Understand the reasons for, and the methods of, rectifying a balance of payments deficit.

- Understand the impact of EU membership on Britain's ability to rectify a balance of payments deficit.

### **Exchange rates**

- Understand how exchange rates are determined through the interaction of demand and supply.
- Understand how the government could influence the exchange rate.
- Understand why the government might want to influence the exchange rate.
- Explain the relationship between the exchange rate and international competitiveness.

### **Standard of living**

- Identify the different indicators of standards of living both within and between countries.
- Understand the meaning and the limitations of GDP per head as a measure of living standards both within and between countries.
- Appreciate how living standards can be improved through economic growth.

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## **SECTION D: COURSEWORK**

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Not applicable to this course.